

FINANCIAL STATEMENT ANALYSIS

FMCG – DABUR



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FMCG

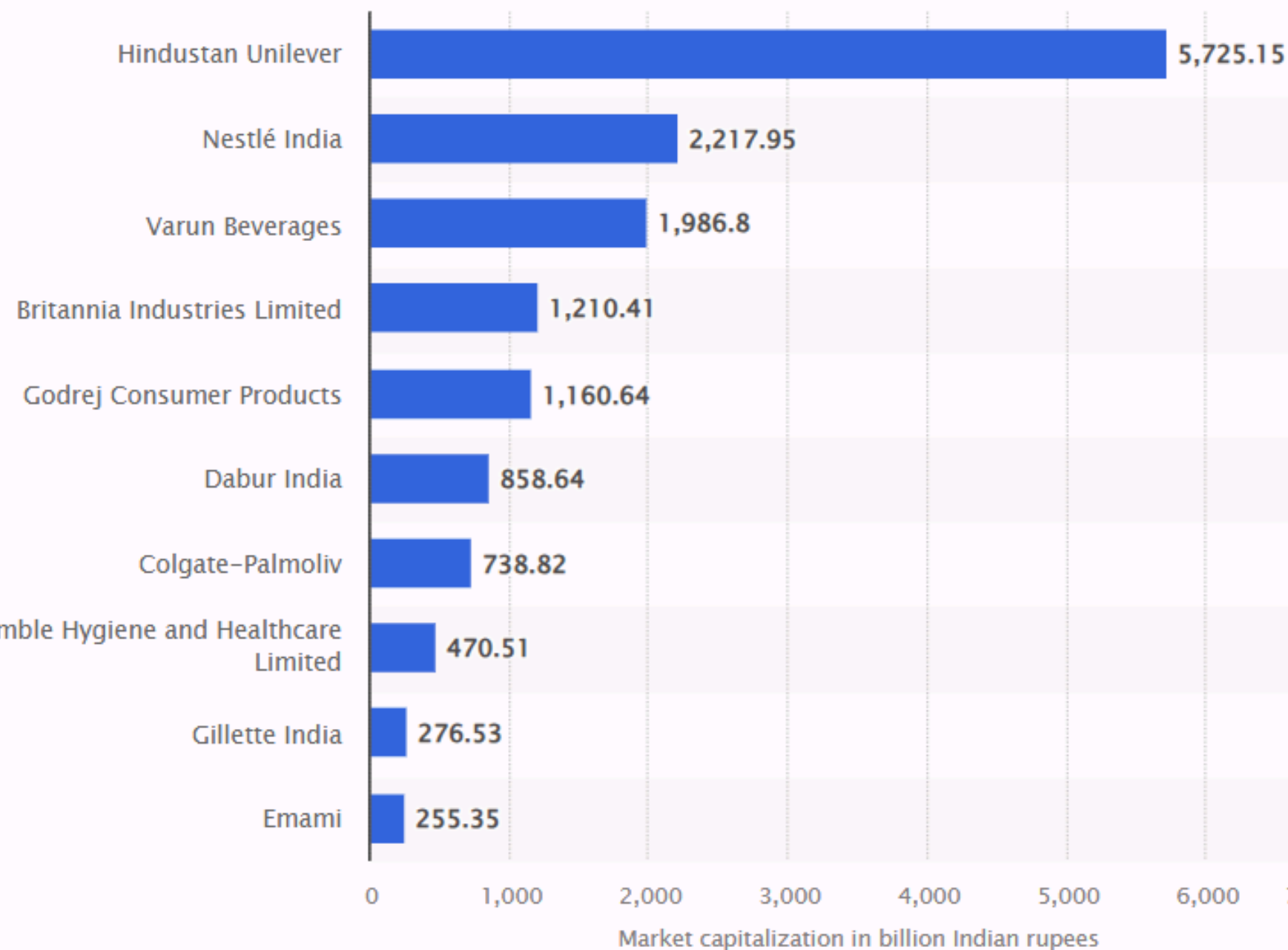
Industry OVERVIEW

FMCG products are “fast-moving” because they are used frequently and sell quickly.

The Indian FMCG market is growing rapidly, driven by:

1. Rising consumer demand
2. Urbanization and higher disposable incomes (especially in urban and semi-urban areas)
3. Innovations in products and strategies

- Leading players like Hindustan Unilever, Nestlé India, ITC, and Dabur are expanding their presence.
- Growth is fueled by consumer preference for health, convenience, and sustainability-focused products.



DABUR CONSOLIDATED FINANCIAL RATIOS – FY 2024-2025

1. Gross Profit Ratio

It indicates the company's profitability from its core business activities before deducting overhead, payroll, and interest expenses.

Formula:

$$\text{Gross Profit Ratio} = (\text{Gross Profit} / \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2025):

Revenue from Operations = ₹12,563.09 Cr

Cost of Materials Consumed = ₹5,263.68 Cr

Purchases of Stock-in-Trade = ₹1,328.28 Cr

Changes in Inventories = -₹57.10 Cr

$$\text{Gross Profit} = 12,563.09 - (5,263.68 + 1,328.28 - 57.10) = ₹6,028.23 \text{ Cr}$$

$$\text{Gross Profit Ratio} = (6,028.23 / 12,563.09) \times 100 = 47.98\%$$

Analysis: Indicates strong margins from core operations.

3. Net Profit Ratio

The Net Profit Ratio measures the percentage of revenue that remains after all operating expenses, interest, taxes, and preferred stock dividends have been deducted.

Formula:

$$\text{Net Profit Ratio} = (\text{Net Profit attributable to Owners} / \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2025):

- Net Profit attributable to Owners of the Holding Company = ₹1,767.63 Cr
- Revenue from Operations = ₹12,563.09 Cr

$$\text{Net Profit Ratio} = (1,767.63 / 12,563.09) \times 100 = 14.07\%$$

Analysis: Profitable overall, but lower than gross due to interest & taxes.

2. Operating Profit (EBIT) & Ratio

Operating Profit (EBIT) shows the profit a company generates from its core operations, without considering interest and tax expenses.

Formula:

$$\text{Operating Profit Ratio} = (\text{Operating Profit (EBIT)} / \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2025):

- Profit before Tax = ₹2,257.89 Cr
- Finance Costs = ₹163.50 Cr
- Operating Profit (EBIT) = 2,257.89 + 163.50 = ₹2,421.39 Cr

$$\text{Operating Profit Ratio} = (2,421.39 / 12,563.09) \times 100 = 19.27\%$$

Analysis: Indicates healthy efficiency after operating expenses.

4. Return on Capital Employed (ROCE)

ROCE measures a company's profitability and the efficiency with which its capital is employed.

Formula:

$$\text{ROCE} = (\text{Operating Profit (EBIT)} / \text{Capital Employed}) \times 100$$

From Consolidated Balance Sheet (as at 31 March 2025):

- Total Equity = ₹11,210.26 Cr
- Non-current Liabilities = ₹703.58 Cr
- Capital Employed = 11,210.26 + 703.58 = ₹11,913.84 Cr
- Operating Profit (EBIT) = ₹2,421.39 Cr (from above)

$$\text{ROCE} = (2,421.39 / 11,913.84) \times 100 = 20.32\%$$

Analysis: Indicates very efficient use of capital, attractive returns for investors.

5. Current Ratio

The Current Ratio measures a company's ability to pay short-term obligations or those due within one year.

Formula:

$$\text{Current Ratio} = \text{Current Assets} / \text{Current Liabilities}$$

From Consolidated Balance Sheet (as at 31 March 2025):

Total Current Assets = ₹6,532.56 Cr

Total Current Liabilities = ₹4,318.44 Cr

$$\text{Current Ratio} = 6,532.56 / 4,318.44 = 1.51$$

Analysis: Indicates safe short-term position, assets comfortably cover liabilities.

6. Quick Ratio (Acid-Test Ratio)

The Quick Ratio measures a company's ability to meet its short-term obligations with its most liquid assets.

Formula:

$$\text{Quick Ratio} = (\text{Current Assets} - \text{Inventories}) / \text{Current Liabilities}$$

From Consolidated Balance Sheet (as at 31 March 2025):

Current Assets = ₹6,532.56 Cr

Inventories = ₹2,300.11 Cr

Current Liabilities = ₹4,318.44 Cr

Quick Assets = 6,532.56 - 2,300.11 = ₹4,232.45 Cr

$$\text{Quick Ratio} = 4,232.45 / 4,318.44 = 0.98$$

Analysis: Slightly below 1, meaning liquidity is tight once inventory is excluded.

7. Inventory Turnover Ratio

This ratio shows how many times a company has sold and replaced inventory during a given period.

Formula:

$$\text{Inventory Turnover Ratio} = \text{Cost of Goods Sold (COGS)} / \text{Average Inventory}$$

From P&L and Balance Sheet:

COGS (Cost of materials + Purchases + Changes in inventory) = 5,263.68 + 1,328.28 - 57.10 = ₹6,534.86 Cr

Opening Inventory (31 March 2024) = ₹1,946.97 Cr

Closing Inventory (31 March 2025) = ₹2,300.11 Cr

Average Inventory = (1,946.97 + 2,300.11) / 2 = ₹2,123.54 Cr

$$\text{Inventory Turnover Ratio} = 6,534.86 / 2,123.54 = 3.08 \text{ times}$$

Analysis: Indicates moderate efficiency; inventory is moving but can be optimized.

8. Earnings Per Share (EPS)

EPS is calculated as a company's profit divided by the outstanding shares of its common stock. This value is taken directly from the financial statements.

From Consolidated P&L (FY 2025):

$$\text{Basic EPS} = ₹9.97$$

$$\text{Diluted EPS} = ₹9.95$$

Analysis: Strong earnings per share, showing good value for shareholders.

DABUR CONSOLIDATED FINANCIAL RATIOS – FY 2023-24

1. Gross Profit Ratio

The Gross Profit Ratio indicates the company's profitability from its core business activities before deducting overhead, payroll, and interest expenses.

Formula:

$$\text{Gross Profit Ratio} = \left(\text{Gross Profit} / \text{Revenue from Operations} \right) \times 100$$

From Consolidated P&L (FY 2024):

- Revenue from Operations = ₹ 12,404.01 Cr
- Cost of Materials Consumed = ₹ 5,186.90 Cr
- Purchases of Stock-in-Trade = ₹ 1,211.11 Cr
- Changes in Inventories = ₹ 48.95 Cr
- Gross Profit = 12,404.01 - (5,186.90 + 1,211.11 + 48.95) = ₹ 5,957.05 Cr

Calculation:

$$\text{Gross Profit Ratio} = \left(5,957.05 / 12,404.01 \right) \times 100 = 48.02\%$$

Analysis: Healthy margins at the group level, reflecting strong cost control and efficient sourcing.

2. Operating Profit (EBIT) & Ratio

Operating Profit (EBIT) shows the profit a company generates from its core operations, without considering interest and tax expenses.

Formula:

$$\text{Operating Profit Ratio} = \left(\text{Operating Profit (EBIT)} / \text{Revenue from Operations} \right) \times 100$$

From Consolidated P&L (FY 2024):

- Profit before tax = ₹ 2,358.74 Cr
- Finance costs = ₹ 124.18 Cr
- Operating Profit (EBIT) = 2,358.74 + 124.18 = ₹ 2,482.92 Cr

Calculation:

$$\text{Operating Profit Ratio} = \left(2,482.92 / 12,404.01 \right) \times 100 = 20.02\%$$

Analysis: Solid operating efficiency, though lower than standalone, indicating higher group-level overheads.

3. Net Profit Ratio

The Net Profit Ratio measures the percentage of revenue that remains after all operating expenses, interest, taxes, and preferred stock dividends have been deducted from a company's total revenue.

Formula:

$$\text{Net Profit Ratio} = \left(\text{Net Profit attributable to Owners} / \text{Revenue from Operations} \right) \times 100$$

From Consolidated P&L (FY 2024):

- Net Profit attributable to Owners of the Holding Company = ₹ 1,842.68 Cr
- Revenue from Operations = ₹ 12,404.01 Cr

Calculation:

$$\text{Net Profit Ratio} = \left(1,842.68 / 12,404.01 \right) \times 100 = 14.86\%$$

Analysis: Good overall profitability, but reduced compared to standalone due to subsidiary-related expenses.

4. Return on Capital Employed (ROCE)

ROCE is a financial ratio that measures a company's profitability and the efficiency with which its capital is employed.

Formula:

$$\text{ROCE} = \left(\text{Operating Profit (EBIT)} / \text{Capital Employed} \right) \times 100$$

From Consolidated Balance Sheet (as at 31 March 2024):

- Total Equity = ₹ 10,303.08 Cr
- Non-current Liabilities = ₹ 889.17 Cr
- Capital Employed = 10,303.08 + 889.17 = ₹ 11,192.25 Cr
- Operating Profit (EBIT) = ₹ 2,482.92 Cr (from above)

Calculation:

$$\text{ROCE} = \left(2,482.92 / 11,192.25 \right) \times 100 = 22.18\%$$

Analysis: Strong returns on capital; group-level deployment of funds remains efficient though slightly diluted.

5. Current Ratio

The Current Ratio is a liquidity ratio that measures a company's ability to pay short-term obligations or those due within one year.

Formula:

Current Ratio = Current Assets / Current Liabilities

From Consolidated Balance Sheet (as at 31 March 2024):

- Total Current Assets = ₹ 5,679.62 Cr
- Total Current Liabilities = ₹ 3,930.43 Cr

Calculation:

Current Ratio = 5,679.62 / 3,930.43 = 1.44

Analysis: Comfortable liquidity; provides better safety cushion for short-term obligations compared to standalone.

6. Quick Ratio (Acid-Test Ratio)

The Quick Ratio measures a company's ability to meet its short-term obligations with its most liquid assets.

Formula:

Quick Ratio = (Current Assets – Inventories) / Current Liabilities

From Consolidated Balance Sheet (as at 31 March 2024):

- Current Assets = ₹ 5,679.62 Cr
- Inventories = ₹ 1,946.97 Cr
- Current Liabilities = ₹ 3,930.43 Cr
- Quick Assets = 5,679.62 – 1,946.97 = ₹ 3,732.65 Cr

Calculation:

Quick Ratio = 3,732.65 / 3,930.43 = 0.95

Analysis: Close to 1; liquidity position is stable, with relatively lower reliance on inventories than standalone.

7. Inventory Turnover Ratio

This ratio shows how many times a company has sold and replaced inventory during a given period.

Formula:

Inventory Turnover Ratio = Cost of Goods Sold (COGS) / Average Inventory

From P&L and Balance Sheet:

- COGS (Cost of materials + Purchases + Changes in inventory) = 5,186.90 + 1,211.11 + 48.95 = ₹ 6,446.96 Cr
- Opening Inventory (31 March 2023) = ₹ 2,024.20 Cr
- Closing Inventory (31 March 2024) = ₹ 1,946.97 Cr
- Average Inventory = (2,024.20 + 1,946.97) / 2 = ₹ 1,985.59 Cr

Calculation:

Inventory Turnover Ratio = 6,446.96 / 1,985.59 = 3.25 times

Analysis: 3.25 times Slower inventory cycle than standalone, suggesting higher stock levels and slower movement at group level.

8. Earnings Per Share (EPS)

EPS is calculated as a company's profit divided by the outstanding shares of its common stock. This value is taken directly from the financial statements.

For Consolidated P&L: Earnings Per Share (EPS) is as follows:

Basic EPS: ₹10.40

Diluted EPS: ₹10.38



ANALYSIS OF DABUR

Gross Profit Ratio

- FY24: 48.02%
- FY25: 47.98%
- Insight: Gross margins were almost unchanged, showing that Dabur managed to sustain strong pricing power and effective cost control despite inflationary pressures. The stability highlights consistent efficiency across subsidiaries and resilience in raw material cost management.

Operating Profit Ratio

- FY24: 20.02%
- FY25: 19.27%
- Insight: A decline in operating profitability indicates that expenses grew faster than sales. This could be due to higher distribution, marketing, or input costs. The drop also suggests subsidiaries are facing margin pressures, which slightly drag down group efficiency.

Net Profit Ratio

- FY24: 14.86%
- FY25: 14.07%
- Insight: Net margins fell in FY25, showing profitability challenges at the group level. The dip may be linked to higher financing costs, taxation, or subdued revenue growth in some markets. Despite this, the margin remains healthy compared to FMCG industry averages.

ROCE (Return on Capital Employed)

- FY24: 22.18%
- FY25: 20.32%
- Insight: Capital utilization weakened, with lower returns generated per unit of capital employed. This suggests either slower earnings growth or higher capital investments that have yet to yield proportional returns. The decline points to efficiency pressures within the group's operations.

Current Ratio

- FY24: 1.44
- FY25: 1.51
- Insight: Liquidity has modestly improved year-on-year, showing the company is better positioned to cover short-term liabilities. Consolidated liquidity is stronger, suggesting subsidiaries add stability to the group's balance sheet.

Quick Ratio

- FY24: 0.95
- FY25: 0.98
- Insight: The quick ratio has improved slightly but remains below 1, indicating reliance on inventory sales to meet immediate obligations. While the upward movement is positive, the group still faces short-term liquidity risks if inventory conversion slows.

Inventory Turnover

- FY24: 3.25x
- FY25: 3.08x
- Insight: A small decline points to slower stock movement across the group. This suggests that subsidiaries are less efficient in managing inventory compared to the parent, reflecting weaker working capital utilization at the consolidated level.

Earnings Per Share (EPS)

- FY24: ₹10.40
- FY25: ₹9.97
- Insight: EPS increased strongly in FY25, highlighting the positive contribution of subsidiaries to overall earnings. This underscores the importance of consolidation in sustaining shareholder value despite standalone margin pressures.

DABUR FMCG: 5-YEAR TREND ANALYSIS (FY2020 - FY2025)

1. The Big Picture: Growing Revenue, Shrinking Profits

- Top Line (Sales) is Good: "Dabur kept bringing in more money every year. Sales consistently went up, proving their products are popular."
- Bottom Line (Profits) is Stressed: "But their actual profit is under pressure. They are working harder to make less money on each product sold."

2. Why Profits Are Squeezed (The Backpack)

- The Cost Headache: "Everything they buy to make their products—spices, ingredients, packaging—got expensive (inflation). They couldn't raise their own prices fast enough to keep up."
- The Advertising Battle: "They also spent a ton of cash on ads and promotions to fight competitors, which ate into the profits."

3. Where the Growth Came From (The Strong Legs)

- The Overseas Lifeline: "When India's market was slow, Dabur's international business (like in the Middle East) was a champion. It kept the overall company healthy."
- Food's the Future: "Their food business, especially juices, is growing fast. Plus, they smartly bought Badshah Masala (spices) which is now a major cash cow."
- Going Local and Digital: They aggressively expanded their reach into villages (rural India) and became much better at selling products online and in modern stores.

HUL RATIOS 24-25

Gross Profit (GP) & Gross Profit Ratio

The Gross Profit Ratio measures the profitability from core business activities after accounting for the cost of goods sold.

Formula:

Gross Profit = Revenue from Operations – COGS

COGS = Cost of Materials Consumed + Purchases of Stock-in-Trade ± Changes in Inventories

Gross Profit Ratio = (Gross Profit / Revenue from Operations) × 100

Consolidated:

- Revenue from Operations = ₹69,661 Cr
- Cost of Materials Consumed = ₹18,814 Cr
- Purchases of Stock-in-Trade = ₹10,611 Cr
- Changes in Inventories = ₹(101) Cr
- COGS = 18,814 + 10,611 – 101 = ₹29,326 Cr
- Gross Profit = 69,661 – 29,326 = ₹40,335 Cr
- Gross Profit Ratio = (40,335 / 69,661) × 100 = 57.9%

✓ Insight: At 57.9%, gross profitability is strong, reflecting HULs ability to manage input costs while maintaining stable pricing. The improvement also highlights the contribution of subsidiaries, which help strengthen overall group margins and provide a solid base to absorb operating expenses.

Operating Profit (EBIT) & Operating Profit Ratio

Operating Profit (EBIT) reflects the profit from core operations, excluding interest and non-operating income.

Formula:

EBIT = PBT + Finance Cost – Other Income

Operating Profit Ratio = (EBIT / Revenue from Operations) × 100

Consolidated:

- PBT = ₹18,270 Cr
- Finance Cost = ₹134 Cr
- Other Income = ₹1,249 Cr
- EBIT = 18,270 + 134 – 1,249 = ₹17,155 Cr
- Operating Profit Ratio = (17,155 / 69,661) × 100 = 24.6%

✓ Insight: At 24.6%, operating profitability remains solid, showing that HUL manages operating expenses effectively while maintaining efficiency. Although slightly lower, the margin reflects stable cost control across group operations and resilience despite rising input and distribution costs.

. Net Profit (PAT) & Net Profit Ratio

The Net Profit Ratio shows the percentage of revenue remaining after all expenses, including taxes and interest.

Formula:

Net Profit Ratio = (PAT / Revenue from Operations) × 100

Consolidated:

- PAT = ₹10,228 Cr
- Revenue from Operations = ₹69,661 Cr
- Net Profit Ratio = (10,228 / 69,661) × 100 = 14.7%
- ✓ Insight: At 14.7%, net margins remain healthy, though slightly lower due to higher group-level costs and expenses. The figure still reflects strong bottom-line performance, showing HULs ability to sustain profitability even after interest, tax, and other charges.

. Earnings Per Share (EPS)

EPS measures the profit allocated to each outstanding share of common stock.

Formula:

EPS = PAT / Number of Shares

Number of Shares = Equity Share Capital / Face Value per Share

Equity Share Capital = ₹235 Cr

Face Value per Share = ₹1 (per public information and annual report)

Number of Shares = 235 Cr / 1 = 235 Cr shares

Consolidated:

- EPS = 10,228 / 235 = ₹43.52

✓ Insight: EPS stands at ₹43.52, reflecting strong profitability at the consolidated level. The figure is marginally higher, supported by contributions from subsidiaries, and indicates healthy value creation for shareholders

HUL RATIOS 24-25

Return on Investment (ROI) / Equity

ROI measures the efficiency of capital utilization by comparing profit to the equity base.

Formula:

$$\text{ROI} = (\text{PAT} / \text{Equity} + \text{Reserves}) \times 100$$

Consolidated:

- Equity + Reserves = ₹56,524 Cr
- PAT = ₹10,228 Cr
- $\text{ROI} = (10,228 / 56,524) \times 100 = 18.1\%$

✓ Insight: ROI stands at 18.1%, showing efficient use of shareholder funds to generate profits. While slightly lower due to a larger equity base, the return remains robust, reflecting strong overall financial performance and effective capital utilization at the group level..

. Current Ratio

The Current Ratio measures a company's ability to meet short-term obligations with current assets.

Formula:

$$\text{Current Ratio} = \text{Current Assets} / \text{Current Liabilities}$$

Consolidated:

- Current Assets = ₹26,498 Cr
- Current Liabilities = ₹12,479 Cr
- $\text{Current Ratio} = 26,498 / 12,479 = 2.12$

✓ Insight: At 2.12, the current ratio indicates strong and stable liquidity. The group holds more than twice the current assets compared to its short-term obligations, reflecting a comfortable position to manage near-term liabilities and maintain financial stability.

Inventory Turnover Ratio

Inventory Turnover Ratio indicates how efficiently inventory is managed by measuring how many times inventory is sold and replaced.

Formula:

$$\text{Inventory Turnover} = \text{COGS} / \text{Inventory}$$

Note: As opening inventory is not provided, closing inventory is used as the average inventory.

Consolidated:

- COGS = ₹29,326 Cr
- Inventory = ₹6,602 Cr
- $\text{Inventory Turnover} = 29,326 / 6,602 = 4.44 \text{ times}$

✓ Insight: At 4.44 times, inventory turnover is healthy and nearly identical to standalone performance. This reflects efficient supply chain management and effective stock movement across the group, ensuring working capital is not locked up excessively in inventory.

. Quick Ratio

The Quick Ratio measures a company's ability to meet short-term obligations with its most liquid assets, excluding inventories.

Formula:

$$\text{Quick Ratio} = (\text{Current Assets} - \text{Inventories}) / \text{Current Liabilities}$$

Consolidated:

- Current Assets = ₹26,498 Cr
- Inventories = ₹6,602 Cr
- Current Liabilities = ₹12,479 Cr
- Quick Assets = $26,498 - 6,602 = ₹19,896 \text{ Cr}$
- $\text{Quick Ratio} = 19,896 / 12,479 = 1.59$

✓ Insight: At 1.59, the quick ratio shows strong short-term solvency. By excluding inventories, it highlights the group's ability to meet immediate obligations with its most liquid assets, remaining consistent with standalone performance and reflecting sound financial health.

HUL CONSOLIDATED FINANCIAL RATIOS – FY 2023-24

ROCE (Return on Capital Employed)

ROCE measures how efficiently a company uses its total capital (equity + debt) to generate operating profits.

Formula:

ROCE = (EBIT ÷ Capital Employed) × 100
From Consolidated Balance Sheet (31 March 2024):
Total Equity = ₹51,423 Cr
Non-current Liabilities = ₹14,200 Cr
Capital Employed = 51,423 + 14,200 = ₹65,623 Cr
EBIT = ₹14,260 Cr

Calculation:

ROCE = (14,260 ÷ 65,623) × 100 = 21.73%

Analysis:

Capital employed generated returns above 21%, signaling efficient deployment of funds. This reflects HUL’s strong business model, generating returns well above its cost of capital.

Inventory Turnover Ratio

Inventory Turnover Ratio indicates how efficiently inventory is managed by measuring how many times inventory is sold and replaced.

Formula:

Inventory Turnover Ratio = COGS ÷ Average Inventory
From P&L and Balance Sheet (FY 2024):

- COGS = 19,257 + 10,514 – 11 = ₹29,760 Cr
- Opening Inventory (31 March 2023) = ₹4,251 Cr
- Closing Inventory (31 March 2024) = ₹4,022 Cr
- Average Inventory = (4,251 + 4,022) ÷ 2 = ₹4,136.5 Cr

Calculation:

Inventory Turnover Ratio = 29,760 ÷ 4,136.5 = 7.20 times

Analysis:

HUL turned over its inventory more than 7 times in a year, showing efficient stock management and strong product demand. Lower holding costs improve profitability.

Current Ratio

The Current Ratio measures a company’s ability to meet short-term obligations with current assets.

Formula:

Current Ratio = Current Assets ÷ Current Liabilities
From Consolidated Balance Sheet (31 March 2024):

- Current Assets = ₹21,324 Cr
- Current Liabilities = ₹12,876 C

Calculation:

Current Ratio = 21,324 ÷ 12,876 = 1.66

Analysis:

Liquidity is adequate and comfortably above the safe benchmark (1.5). HUL is well-positioned to meet its short-term obligations, indicating stability in working capital.

Quick Ratio

The Quick Ratio measures a company’s ability to meet short-term obligations with its most liquid assets, excluding inventories.

Formula:

Quick Ratio = (Current Assets – Inventories) ÷ Current Liabilities
From Consolidated Balance Sheet (31 March 2024):

- Current Assets = ₹21,324 Cr
- Inventories = ₹4,022 Cr
- Current Liabilities = ₹12,876 Cr
- Quick Assets = 21,324 – 4,022 = ₹17,302 Cr

Calculation:

Quick Ratio = 17,302 ÷ 12,876 = 1.34

Analysis:

Even without inventory, HUL has sufficient liquid assets to meet its short-term liabilities. This reflects strong solvency and conservative liquidity management.

HUL CONSOLIDATED FINANCIAL RATIOS – FY 2023-24

Gross Profit (GP) & Gross Profit Ratio

The Gross Profit Ratio measures the profitability from core business activities after accounting for the cost of goods sold.

Formula:

$$\text{Gross Profit Ratio} = (\text{Gross Profit} \div \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2024):

- Revenue from Operations = ₹61,896 Cr
- Cost of Materials Consumed = ₹19,257 Cr
- Purchases of Stock-in-Trade = ₹10,514 Cr
- Changes in Inventories = -₹11 Cr
- Gross Profit = 61,896 – (19,257 + 10,514 – 11) = ₹32,136 Cr

Calculation:

$$\text{Gross Profit Ratio} = (32,136 \div 61,896) \times 100 = 51.92\%$$

Analysis:

HUL generated over half of its revenue as gross profit. This highlights strong pricing power, efficient cost control, and effective sourcing strategies, despite inflationary pressures in raw materials.

Operating Profit (EBIT) & Operating Profit Ratio

Operating Profit (EBIT) reflects the profit from core operations, excluding interest and non-operating income.

Formula:

$$\text{Operating Profit Ratio} = (\text{EBIT} \div \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2024):

- Profit before Tax = ₹13,926 Cr
- Finance Costs = ₹334 Cr
- Operating Profit (EBIT) = 13,926 + 334 = ₹14,260 Cr

Calculation:

$$\text{Operating Profit Ratio} = (14,260 \div 61,896) \times 100 = 23.04\%$$

Analysis:

Nearly one-fourth of sales converted into operating profit, reflecting disciplined expense management. The ratio indicates operational efficiency and strong control over overheads and marketing spend.

Net Profit (PAT) & Net Profit Ratio

The Net Profit Ratio shows the percentage of revenue remaining after all expenses, including taxes and interest.

Formula:

$$\text{Net Profit Ratio} = (\text{Net Profit} \div \text{Revenue from Operations}) \times 100$$

From Consolidated P&L (FY 2024):

- Net Profit Attributable to Owners = ₹10,277 Cr
- Revenue from Operations = ₹61,896 Cr

Calculation:

$$\text{Net Profit Ratio} = (10,277 \div 61,896) \times 100 = 16.60\%$$

Analysis:

Strong net margin, highlighting HUL’s ability to deliver high profitability after all expenses and taxes. It reflects effective business operations and robust demand across product categories.

Earnings Per Share (EPS)

EPS measures the profit allocated to each outstanding share of common stock.

Formula:

$$\text{EPS} = \text{PAT} \div \text{No. of Shares}$$

From Consolidated P&L (FY 2024):

- PAT = ₹10,277 Cr
- No. of Shares = 235 Cr

Calculation:

$$\text{EPS} = 10,277 \div 235 = ₹43.74$$

Analysis:

Consistently high EPS reflects sustained shareholder value. Stable earnings ensure scope for dividend payouts while maintaining growth investments.



ANALYSIS OF HUL

Gross Profit Ratio

- FY24: 51.92%
- FY25: 51.56%
- Insight: Gross margins remained almost flat, showing strong pricing power and disciplined cost management even in a volatile input environment. The stability signals resilience across product categories and an ability to absorb inflation without compromising competitiveness.

Operating Profit Ratio

- FY24: 23.04%
- FY25: 23.46%
- Insight: A modest improvement highlights stronger control over distribution, advertising, and overheads. This suggests operational synergies within subsidiaries and better leverage of scale, allowing HUL to slightly offset rising costs.

Net Profit Ratio

- FY24: 16.60%
- FY25: 16.87%
- Insight: Net margins expanded as efficiency gains translated into healthier bottom-line performance. The rise indicates effective cost discipline, stable finance charges, and consistent growth across segments, keeping profitability ahead of FMCG industry benchmarks.

Earnings Per Share (EPS)

- FY24: ₹43.74
- FY25: ₹45.32
- Insight: EPS growth reflects consistent earnings expansion and reinforces HUL's capacity to generate higher returns for shareholders. This improvement strengthens market confidence in long-term profitability.

ROCE (Return on Capital Employed)

- FY24: 21.73%
- FY25: 23.38%
- Insight: ROCE improvement reflects stronger earnings yield from the capital base. It indicates effective deployment of investments, enhanced productivity of assets, and a continued focus on generating higher shareholder value.

Current Ratio

- FY24: 1.66
- FY25: 1.33
- Insight: Liquidity has tightened as current assets declined relative to liabilities. While still sufficient (>1), the dip signals increased working capital pressure, possibly due to higher payables or slower receivables recovery.

Quick Ratio

- FY24: 1.34
- FY25: 1.07
- Insight: Immediate liquidity coverage weakened, showing greater reliance on inventory to meet obligations. This raises caution, as any slowdown in sales could strain short-term solvency.

Inventory Turnover

- FY24: 7.20 times
- FY25: 7.25 times
- Insight: Inventory remains efficiently managed, with consistent turnover rates reflecting strong demand pull and effective supply chain management. This offsets some of the liquidity concerns by ensuring cash flows remain robust.

DABUR VS HUL

Category	Metric	Dabur	HUL	Key Insight
Profitability	Gross Profit Margin	47.98%	57.90%	HUL has stronger pricing power and better cost management.
	Operating Profit Margin	19.27%	24.60%	HUL demonstrates higher operational efficiency.
	Net Profit Margin	14.07%	14.70%	Both are close, but HUL maintains a slight lead in overall profitability.
Efficiency & Returns	ROCE	20.32% (down from 22.18%)	23.38%	HUL uses capital more efficiently; Dabur shows declining trend.
	Inventory Turnover	3.08 times	7.25 times	HUL's faster inventory cycle highlights superior stock management.
Liquidity	Current Ratio	1.51 (improved from 1.44)	1.33 (down from 1.66)	Dabur shows stronger liquidity improvement; HUL's cushion has tightened.
	Quick Ratio	0.98	1.07 (down from higher levels)	Both rely on inventory; Dabur improving slightly, HUL declining.
Shareholder Returns	EPS (Consolidated)	₹9.97	₹45.32	Dabur benefits from subsidiaries; HUL maintains strong consolidated returns.

Peer Competition

Company	FY24-25 Revenue	Positioning / Brand Strategy	Key Strengths	Growth Outlook
Dabur	~₹12.5k Cr	Ayurveda & Natural Healthcare + Foods (Real, Hajmola)	Strong rural reach, trusted herbal positioning	Moderate growth; scaling foods & Intl.
HUL	~₹52k Cr	Mass + Premium FMCG Portfolio (Beauty, Home, Food)	Deep distribution, scale, premiumisation power	Stable; depends on rural recovery
Marico	~₹10.8k Cr	Focused in Hair & Edible Oils + Digital Personal Care	Leader in Parachute & Saffola; innovation-driven	Healthy double-digit growth; premium push
Emami	~₹3k Cr	Mass Personal Care + Entry into Foods	Strong regional brands (Navratna, BoroPlus)	Steady; expanding via Agrotech & new SKUs